that such claims warrant resolution through the public court system rather than through private arbitration." (*Quilala, supra,* 117 Cal.App.5th at 83.) *Quilala* discussed the standard for bringing a sexual harassment claim under California law, not federal law. (*Quilala, supra,* 117 Cal.App.5th at 85-86.) *Quilala* also made it clear that the trial court correctly applied *current standards* when reviewing the allegations to determine if the plaintiff stated a plausible claim for sexual harassment, which indicates that the court was not intending to change the law. (*Id*. at 86- 87.)

Here, as in *Quilala*, the Court looked to the allegations in the complaint to determine whether Plaintiff had alleged a claim for sexual harassment under California law. The main difference between this case and *Quilala* is that here it was a close call as to whether Plaintiff had sufficiently alleged a claim for sexual harassment and in *Quilala* there were much stronger factual allegations to support a claim. (*Quilala, supra,* 117 Cal.App.5th at 86.) But the fact that *Quilala* was a stronger case for sexual harassment is not a change in the law. Nothing in *Quilala* suggested that all plaintiffs must bring allegations similar to the level alleged in *Quilala.*

The Court finds that *Quilala* did not constitute new law regarding what allegations are sufficient to state a claim for sexual harassment when determining whether the EFAA applies. Therefore, the motion for reconsideration is **denied**.

Defendant's requests for judicial notice of the Court of Appeal opinion in *Quilala, supra,* 117 Cal.App.5th 75 is granted (although unnecessary as it is a published opinion). Defendant's request for judicial notice of the complaint filed in San Francisco Superior Court in *Quilala* is denied. The Court of Appeal in *Quilala* sufficiently described the allegations at issue and there is no need for this Court to review the full complaint in *Quilala*.

12. 9:00 AM CASE NUMBER: C25-02272
CASE NAME: GEORGE PAVANA VS. DAS POLLAYIL
***HEARING ON MOTION IN RE: FOR OSC RE SALE OF REAL PROPERTY**
FILED BY:
****TENTATIVE RULING:****
Pursuant to the Stipulation and Order filed on May 15, 2026, this hearing is continued to August 5, 2026 at 9:00 a.m. in this Department. No appearance is required on May 20, 2026.

13. 9:00 AM CASE NUMBER: C25-03593
CASE NAME: HALIM WINATA VS. KFORCE FLEXIBLE SOLUTIONS, LLC
***HEARING ON MOTION IN RE: TO STAY THIS ACTION PENDING THE RESOLUTION OF ARBITRATION**
FILED BY: THE CAPITAL GROUP COMPANIES, INC.
****TENTATIVE RULING:****
Defendant The Capital Group Companies Inc.'s ("Capital Group") Motion for Stay Pending Resolution of Arbitration, filed on January 26, 2026 is unopposed. Accordingly, the Motion is **granted**. This matter is stayed pending resolution of Capital Group's Motion to Compel Arbitration. The Court will execute the Proposed Order lodged on January 26, 2026. No appearance is required on May 20, 2026.

14. 9:00 AM CASE NUMBER: C25-03661
CASE NAME: KELLEN KIRK VS. TESLA, INC.,
***MOTION/PETITION TO COMPEL ARBITRATION COMPEL BINDING ARBITRATION**
FILED BY: TESLA, INC.,
****TENTATIVE RULING:****

Before the Court is Defendant Tesla, Inc.'s Motion to Compel Binding Arbitration.

For the following reasons, Defendant's Motion is **granted**.

Factual and Procedural Background

Plaintiff filed his complaint on December 12, 2025, alleging various Song-Beverly Act violations related to a Tesla vehicle he purchased from Defendant on July 28, 2024. It is undisputed that the Motor Vehicle Order Agreement ("Order Agreement") executed by Plaintiff includes an Arbitration Agreement.

On January 27, 2026, Tesla filed the instant motion to compel arbitration in accordance with the terms of the Arbitration Agreement.

Analysis

Defendant contends that the Federal Arbitration Act and the California Arbitration Act both require the enforcement of the Arbitration Agreement at issue.

"The FAA applies to contracts that involve interstate commerce (9 U.S.C. §§ 1, 2), but since arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement." (*Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963.) Here, the Arbitration Agreement does not state that the FAA applies. There is also no evidence that shows that the contract at issue involves "interstate commerce." Defendant argues that automotive sales contracts "necessarily involve interstate commerce, because even when used intra-state, 'cars are themselves instrumentalities of interstate commerce.'" (*United States v. Oliver* (9th Cir. 1995) 60 F.3d 547, 550.) *Oliver*, however, does not involve an arbitration agreement nor does it state that the sale of a car 'necessarily involve interstate commerce.' Nor is there a discussion as to whether a car made, sold, and used in a single state 'necessarily involves interstate commerce.' Even if it did, there is no evidence in this case discussing any of the underlying facts.

As such, neither party has shown that the FAA applies to the Arbitration Agreement at issue. Accordingly, the Court will proceed with its analysis under the California Arbitration Act.

Procedure and Burden of Proof on Motion to Compel Arbitration

Whether or not the arbitration clause is governed by federal law, the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law and procedures. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413 ("Rosenthal").) Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove a defense to the enforcement of the agreement. (*Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580.) The Court as the trier of fact weighs the evidence in reaching a final determination regarding the validity and enforceability of the arbitration agreement. (*Id.*)

Existence of Arbitration Agreement

The threshold issue of whether a valid and enforceable arbitration agreement exists is determined under California law and procedures. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413 ("*Rosenthal*").) In moving for arbitration, the "party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense." (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development* ("*Pinnacle*") (2012) 55 Cal.4th 223, 236.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125.) The Court as the trier of fact weighs the evidence in reaching a final determination regarding the validity and enforceability of the arbitration agreement. (*Id.*)

Defendant produced a copy of the Order Agreement which contains the Arbitration Agreement. (Kim Decl. Ex. 1.) They also explained how Plaintiff electronically executed and agreed to the terms of the Order Agreement – and Arbitration Agreement contained therein. (Kim Decl., ¶ 2-8.)

Plaintiff does not dispute that he signed the electronically executed the Order Agreement. In fact, Plaintiff's attorney declaration in opposition attached a copy of the Order Agreement and confirms it was "executed on July 14, 2024." (Sanders Decl. ¶ 5.)

Based on the above, Defendant has met its initial burden. (See e.g., *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218-19.) Thus, the burden shifts to Plaintiff to prove a defense. (*Pinnacle*, 55 Cal.4th at 236.)

<u>Unconscionability</u>

While Plaintiff does not contest the existence of the Arbitration Agreement (contained in the Order Agreement), he does argue that it is unenforceable because it is unconscionable.

The "unconscionability doctrine 'has both a procedural and a substantive element.'" (*OTO, L.L.C.*, supra, 8 Cal.5th at 125.) "The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.'" (*Ibid.* quoting *Pinnacle, supra*, 55 Cal.4th at 246.)

"Both procedural and substantive unconscionability must be shown for the defense to be established, but 'they need not be present in the same degree.'" (*OTO, L.L.C.* 8 Cal.5th at 125.) "Instead, they are evaluated on a 'sliding scale.'" (*Ibid.*) "[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to 'conclude that the term is unenforceable.'" (*Ibid.*) "Conversely, the more deceptive or coercive the bargaining tactics employed, the less substantive unfairness is required." (*Ibid.*)

"The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." (*Ibid.* quoting *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 912.) Here, Plaintiff argues that the Arbitration

Agreement is both procedurally and substantively unconscionable.

<u>Procedural Unconscionability</u>

Procedural unconscionability involves the components of "oppression" and "surprise." (*OTO, supra,* 8 Cal.5th at 126.) "Oppression arises from an inequality of bargaining power that results in no real negotiation and an absence of meaningful choice." (*Flores v. Transamerica HomeFirst, Inc.* (2001) 93 Cal.App.4th 846, 853.) Surprise, for purposes of procedural unconscionability, "involves the extent to which the supposedly agreed-upon terms are hidden in a prolix printed form drafted by the party seeking to enforce them." (*Ibid.*) Plaintiff contends that both oppression and surprise are present.

A procedural unconscionability analysis 'begins with an inquiry into whether the contract is one of adhesion.'" (*OTO, L.L.C.*, supra, 8 Cal.5th at 126 quoting *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 113.) "An adhesive contract is standardized, generally on a preprinted form, and offered by the party with superior bargaining power 'on a take-it-or-leave-it basis.'" (*Ibid.* quoting *Baltazar v. Forever 21, Inc.* 2016) 62 Cal.4th 1237, 1245.) When presented with a such a situation, the "pertinent question … is whether circumstances of the contract's formation created such oppression or surprise that closer scrutiny of its overall fairness is required." (*Ibid.*)

Plaintiff argues:

> "Here, the purchase agreement was a pre-printed consumer purchase agreement presented to Plaintiff as a 'take it or leave it' agreement (i.e., an adhesion contract). Plaintiff had no meaningful opportunity to negotiate with Tesla regarding any of the terms, except to reject arbitration of the described purchase-related claims. If Plaintiff wanted the subject vehicle, Plaintiff had to accept the Motor Vehicle Order Agreement as a whole." (Opp. at 5:12-16.)

Plaintiff, however, presents no evidence to support this argument. Plaintiff fails to provide any declaration supporting his claim indicating how the Order Agreement was presented to him, how long he had to review it, or whether he even attempted to negotiate the inclusion of the Arbitration Agreement.

"Matters set forth in points and authorities are not evidence." (*Alki Partners, LP v. DB Fund Services, LLC* (2016) 4 Cal.App.5th 574, 590.) "Evidence appears elsewhere – in deposition testimony, discovery responses, and declarations." (*Ibid.*) Even if the allegations could be considered evidence, "the statements contained in the memorandum [of points and authorities] lack foundation and could not be used by the court to evaluate the consideration." (*Brehm Cmtys. v. Superior Court* (2001) 88 Cal.App.4th 730, 735; see also *In re Marriage of Duris & Urbany* (2011) 193 Cal.App.4th 510, 515: "The allegations of a brief are not evidence and a brief is not a sworn document.")

Plaintiff also argues that "Tesla failed to provide Plaintiff with a copy of the relevant arbitration rules or even advise which rules would be chosen." (Opp. at 5:17-18.) He contends that the failure to provide a copy of the rules is procedurally unconscionable.

Initially, as noted above, Plaintiff fails to provide any evidence (such as a declaration) confirming that Tesla did not provide a copy of the relevant arbitration rules. While it may be true that failure to attach a copy of the arbitration rules could be a factor supporting a finding of procedural unconscionability, courts have found that "the failure to attach the AAA rules, standing alone, is insufficient grounds to support a finding of procedural unconscionability." (*Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1472.) As one court explained: "The failure to attach a copy of arbitration rules could be a factor supporting a finding of procedural unconscionability where the failure would result in surprise to the party opposing arbitration." (*Lane v. Francis Capital Management LLC* (2014) 224 Cal.App.4th 676, 690.)

As to the claim that Tesla did not "even advise which rules would be chosen," that argument is belied by the terms of the Arbitration Agreement. It specifically states that the arbitration will be "administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules."

Finally, the Arbitration Agreement also contains an opt-out provision which allowed Plaintiff to opt out of arbitration within 30 days of signing the Order Agreement. Plaintiff provides no evidence he availed himself of this option. An "arbitration agreement is not adhesive if there is an opportunity to opt out of it." (*Mohamed v. Uber Techs., Inc.* (2016) 848 F.3d 1201, 1211.) An arbitration agreement that provides a party with the opportunity to opt out is not adhesive, as it provides a meaningful choice.

Based on the above, the Court finds that Plaintiff has failed to establish any procedural unconscionability.

<u>Substantive Unconscionability</u>

Substantive unconscionability may be found where the substantive provisions of the agreement are so overly harsh or unreasonably favorable to the more powerful party that they undermine its neutrality. (*Sanchez, supra,* 61 Cal.4th at 910-11, 913; *Armendariz, supra,* 24 Cal.4th at 117.) Substantive unconscionability focuses on the substantive fairness of the terms and whether the agreement is "unfairly one-sided." (*Little v. Auto Stiegler, Inc.* (2003) 29 Cal.4th 1064, 1071; *Baltazar v. Forever 21, Inc., supra,* 62 Cal.4th at 1248.) "The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." (*Sanchez, supra,* 61 Cal.4th at 911-12.)

"A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be 'so one-sided as to "shock the conscience." [Citation omitted.]" (*Pinnacle, supra,* 55 Cal.4th at 246 [quoting *24 Hour Fitness, Inc. v. Superior Court* (1998) 66 Cal.App.4th 1199, 1213].)

Plaintiff appears to allege two terms of the Arbitration Agreement are substantively unconscionable: (1) the arbitrator selection process, and the (2) 'arbitration-cost provisions.'

As to the arbitrator selection process, Plaintiff argues that Tesla 'may 'elect' both to arbitrate in the first place, and choose the forum, and choose the rules' which makes the agreement substantively unconscionable. Plaintiff cites to *Chavarria v. Ralphs* (9th Cir. 2013) 733 F.3d 916 as support, noting that the court there "held: 'Even if it were the case that Ralphs' policy does not guarantee that Ralphs will always be the party with the final selection, the selection process is not one designed to produce a true neutral in any individual case.'" (*Id.* at 925.)

Chavarria is distinguishable. There, the section of the arbitration agreement that governed the procedure for selecting a single arbitrator:

> "provided that, unless the parties agree otherwise, the arbitrator must be a retired state or federal judge. It explicitly prohibits the use of an administrator from either the American Arbitration Association ('AAA') or the Judicial Arbitration and Mediation Service ('JAMS').
>
> If the parties do not agree on an arbitrator, the policy provides for the following procedure:
> (1) Each party proposes a list of three arbitrators;
> (2) The parties alternate striking one name from the other party's list of arbitrators until only one name remains;
> (3) The party 'who has not demanded arbitration' makes the first strike from the respective lists; and
> (4) The lone remaining arbitrator decides the claims." (*Id.* at 920.)

As the *Chavarria* court noted, under the above procedure the "arbitrator selected through this process will invariably be one of the three candidates nominated by the party that ***did not demand*** arbitration." (*Ibid.* emphasis added.) In other words, Ralphs would always be the party that selects the arbitrator. Likewise, in *Milliner v. Bock Evans Fin. Counsel, Ltd.* (2015) 114 F.Supp.3d 871, (also cited by Plaintiff) the arbitrator selection process called for the defendant to select the arbitrator.

This is nowhere near what the Tesla Arbitration Agreement provides. Here, the Arbitration Agreement indicates that the arbitration will be "administered by the American Arbitration Association (AAA) under its Consumer Arbitration Rules." Thus, the AAA rules will govern which of its arbitrators will hear the matter. Plaintiff has failed to provide any evidence or arguments to establish that the procedures the AAA uses to pick an arbitrator are unconscionable or one-sided.

Plaintiff next argues that the 'arbitration-cost provisions' are substantively unconscionable, without identifying what specific language in the Arbitration Agreement he takes issue with. It appears that the provision at issue is:

> To initiate the arbitration, you will pay the filing fee directly to AAA and we will pay all subsequent AAA fees for the arbitration, except you are responsible for your own attorney, expert, and other witness fees and costs unless otherwise provided by law. If you prevail on any claim, we will reimburse you your filing fee.

Plaintiff contends that this clause "discourages, or even prevents, buyers from seeking to enforce their legal rights, as buyers are potentially faced with bearing exorbitant arbitration costs and expenses they may have to reimburse to Tesla…." (Opp. at 7:13-15.) "Arbitration would impose prohibitive costs on Plaintiff, and, combined with the other substantive and procedurally unconscionable aspects, this renders the Arbitration Provision unenforceable." (*Id.* at 7:17-19.)

As Plaintiff's own authority makes clear, "given the Legislature's approach to the affordability of consumer arbitration" a provision in an arbitration agreement pertaining to costs "cannot be held unconscionable absent a showing that [arbitration] fees and costs in fact would be unaffordable or would have a substantial deterrent effect….” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 920.)

Again, Plaintiff presents no evidence to indicate that the costs associated with initiating an arbitration are unusually high or that he cannot afford them. He also fails to explain why being required to pay the filing fee would prevent buyers from seeking to enforce legal rights. Plaintiff was required to pay a filing fee of $435 to file his complaint in this action. There is no evidence showing that the AAA filing fee is disproportionately greater or prohibitively high.

In addition, after the filing fee is paid by Plaintiff the Arbitration Agreement makes clear that Tesla "will pay all subsequent AAA fees for the arbitration," except for attorney, expert, and witness fees incurred by Plaintiff. This provision is actually more beneficial to Plaintiff as he would be required to pay his own filing fees for any motions (such as this one) while in court. It is also worth noting that if Plaintiff prevails in the arbitration, Tesla will reimburse his initial filing fee.

Stay of Proceedings

"If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (Code Civ. Proc. § 1281.4.)

Based on the above, Defendant requests that this matter be stayed pending the resolution of the arbitration. Plaintiff does not dispute, or even address, the request to institute a stay of these proceedings if the Court grants the motion to compel arbitration. A stay is warranted.

Conclusion

Based on the above, Tesla's motion to compel arbitration is **granted**. The parties are ordered to submit this matter to arbitration before the AAA in accordance with the terms of the Arbitration Agreement. This matter is **stayed in full**, pending conclusion of the arbitration.

15. 9:00 AM CASE NUMBER: C26-00315
CASE NAME: GARY DARTEZ VS. REDWOOD PROPERTY INVESTORS III, LLC
***HEARING ON MOTION IN RE: MOTION TO COMPEL PRESERVATION OF EVIDENCE; LITIGATION HOLD; AND RELATED RELIEF**
FILED BY:
****TENTATIVE RULING:****
Summary

Plaintiff Gary Dartez ("Plaintiff") Motion to Compel Preservation of Evidence, etc. against Defendant Redwood Property Investors III LLC ("Defendant") is **denied** as set forth herein.

Background

In this case, Plaintiff Gary Dartez ("Plaintiff") alleges that Defendant Redwood Property Investors III LLC ("Defendant") the following causes of action relating to real property leased to him by Defendant